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Switzerland: Credit Suisse Emergency Liquidity Program, 2023¹

Jack French,² Owen Heaphy,³ and Steven Kelly⁴

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Abstract

Credit Suisse (CS) faced multiple challenges leading up to March 2023 including a significant outflow of client funds in the fourth quarter of 2022 and reputational loss resulting from a number of scandals in the preceding years. On Wednesday, March 15, 2023, shortly after two high-profile bank failures in the United States, a high-ranking official of the Saudi National Bank, a major shareholder, publicly said it would not provide any more capital for the company. Despite a joint statement from the Swiss National Bank (SNB) and the Swiss Financial Market Supervisory Authority (FINMA) that CS was in compliance with capital and regulatory requirements, CS's share price fell by 24%, and the premiums on the bank's five-year credit default swaps jumped to more than 1,000 basis points that same day. The following day, on March 16, CS drew 38 billion Swiss francs (CHF) under the SNB's liquidity facility, the emergency liquidity assistance (ELA) facility, and a further CHF 10 billion from the SNB's overnight liquidity-shortage financing facility. However, owing to a lack of eligible collateral at CS, the SNB was concerned that these standing facilities would be insufficient. Also on March 16, the government created two new ad hoc emergency liquidity facilities, called ELA+ and the public liquidity backstop (PLB), without making them public. On March 19, 2023, the Swiss government jointly announced the acquisition of CS by UBS and the creation of the two new liquidity facilities, noting that the SNB would make available up to CHF 200 billion to the newly merged bank through the two facilities. CS drew a total of CHF 120 billion under the two programs between March 16 and March 20, in addition to the CHF 48 billion drawn on the standing facilities. CS continued to experience significant outflows of deposits and other client assets in the following weeks. CS had fully repaid the ELA+ and PLB funds by August 2023, and UBS terminated the PLB agreement on August 11, 2023. As of March 22, 2024, CS had CHF 19 billion outstanding under the SNB's standing ELA facility.

Keywords: ad hoc emergency liquidity, Banking Crisis of 2023, Credit Suisse, Swiss National Bank, UBS

¹ This case study is part of a Yale Program on Financial Stability (YPFS) selection of New Bagehot Project modules considering ad hoc emergency liquidity provision. A survey of all the cases in this series (Kelly et al. 2025) and the individual cases underlying it are available from the *Journal of Financial Crises* at <https://elischolar.library.yale.edu/journal-of-financial-crises/vol7/iss1/>. Wiggins et al. (2022) surveys broad-based emergency liquidity programs.

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Overview

This case study is about the ad hoc emergency liquidity assistance provided to Credit Suisse (CS) and its eventual acquirer, UBS, by the Swiss National Bank (SNB) during the Banking Crisis of 2023.

In the years leading up to the 2023 crisis at CS, the Swiss Financial Market Supervisory Authority (FINMA) brought six public proceedings against the bank along with additional undisclosed enforcement measures. The negative headlines and scandals at the bank badly damaged its reputation. In the second half of 2022, CS announced a strategy review, the results of which would be announced at the end of October 2022. Yet, in early October, CS clients (primarily in the wealth management division) withdrew an extraordinary amount of funds following negative market rumors about the health of the firm. In the fourth quarter of 2023, CS reported that deposits declined by more than one-third relative to the end of 2022, or 138 billion Swiss francs (CHF; USD 149.5 billion⁵). The SNB reported that, ultimately, CS's strategic restructuring plans "were not sufficient to restore confidence in its business model on a sustainable basis" (BIS 2023; FINMA 2023d; Haltermeyer and Balezou 2022; SNB 2024, 104).

The bank did not breach any regulatory ratios for capital or liquidity, but FINMA entered into very close contact with CS from that point on, particularly in regard to the liquidity situation. FINMA Chair Marlene Amstad said that CS survived the outflows in October only because of precautionary liquidity buffers that FINMA imposed on CS in summer 2020. However, a material portion of the liquid assets counting toward

Key Terms

Purpose: To provide liquidity assistance to Credit Suisse and UBS beyond what was available to them through standing facilities

Announcement Date	ELA+ and PLB: March 19, 2023
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Operational Date	ELA+: March 17, 2023; PLB: March 20, 2023
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Termination Date	ELA+: August 10, 2023; PLB: May 31, 2023
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Legal Authority	Federal Council's emergency ordinance
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Administrator	SNB
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Peak Authorization	ELA+: CHF 100 billion; PLB: CHF 100 billion
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Peak Outstanding	ELA+: CHF 50 billion; PLB: CHF 70 billion; Combined: CHF 120 billion, Including standing facilities: CHF 168 billion
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Collateral	ELA+ and PLB had preferential rights in bankruptcy proceedings; PLB had a federal default guarantee
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Haircut and Recourse	SNB held preferential rights in bankruptcy proceedings
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Interest Rate and Fees	ELA+: SNB policy rate plus 300 bps; PLB: SNB policy rate plus 300 bps, plus a 25-bp commitment premium for the default guarantee
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Term	Emergency law authorizing loans set to expire six months after signing
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Part of a Package	Loss protection for UBS AT1 write-down ordered by FINMA
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Outcomes	Both ELA+ and PLB fully repaid; CS merger with UBS
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Notable Features	Preferential rights and guarantee in place of collateral
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⁵ According to the Bank for International Settlements, USD 1 = CHF 0.92 on December 30, 2022.

CS's liquidity coverage ratio (LCR)—liquidity designed to be available to cover emergency outflows—was needed for operational and intraday liquidity. On November 1, 2022, S&P Global Ratings downgraded Credit Suisse's ratings at group level to BBB- and at bank level to A-, citing uncertainty around execution of the bank's transformation plan announced in October (BIS 2023; FINMA 2023d; SNB 2023f, 25).

CS delayed publication of its 2022 annual report on March 9, 2023, following a request from the US Securities and Exchange Commission (SEC) concerning previous accounting statements and related controls. Additionally, although there was no direct link between CS and Silicon Valley Bank (SVB), the chairman of the Governing Board of the SNB said that the collapse of SVB in on March 10 exacerbated the existing issues at CS. On Wednesday, March 15, Ammar Al Khudairy, then-chair of Saudi National Bank—CS's largest shareholder, with a 9.9% stake—replied “absolutely not” when asked if it would put in additional money (Gamal El-Din and Haltermeyer 2023). Saudi National Bank had acquired its stake in CS for CHF 1.4 billion in late 2022 through participation in a capital raise. According to Al Khudairy, Saudi National Bank was unwilling to raise its stake in CS above 10%, as doing so would have subject the bank to additional regulatory requirements. In its Financial Stability Report, the SNB wrote that this announcement “was probably the ultimate trigger of a massive loss of confidence” (Jordan 2023a; SNB 2023f, 38).

Later on March 15, the SNB and FINMA announced in a joint statement that CS met all capital and liquidity requirements and that the SNB would provide liquidity to CS if necessary (FINMA 2023a). But these statements did not reassure markets. Counterparties cut credit limits for CS and increased collateral prepositioning requirements, while deposit withdrawals accelerated. After experiencing deposit outflows of CHF 1.6 billion on March 13 and CHF 2.7 billion on March 14, CS saw deposit outflows of CHF 13.2 billion on March 15 (BIS 2023; FINMA 2023e; Jordan 2023a; SNB 2023f).

According to FINMA, on March 15, 2023, the Department of Financial Services in New York considered attempting to ring-fence CS's subsidiary in New York; however, the Federal Reserve prevented this as it would have complicated CS's groupwide management of dollar liquidity (Swiss Parliament 2024).

That evening, it became clear to the SNB that CS could run into liquidity problems, according to later comments by SNB Vice President Martin Schlegel in an interview in *Neue Zürcher Zeitung*. CS had access to the SNB's standing liquidity facilities, including the emergency liquidity assistance (ELA) facility and the overnight liquidity-shortage financing facility (LSFF). The universe of eligible collateral for the ELA facility includes a broad range of residential and commercial mortgage claims for real estate in Switzerland, high-quality liquid assets, less-liquid bonds with lower credit ratings, securitization and shares in foreign currencies. Because of legal risks, the SNB does not accept foreign loans as collateral, but it makes some exceptions for asset-backed securities.⁶ The LSFF allows banks to borrow

⁶ Securities eligible as collateral for the LSFF and ELA also include those eligible for SNB repurchase agreement (repos); inter alia those issued by central banks, public sector entities, international institutions, multilateral development banks, and private sector entities in cases where both the issuer's country of domicile and the securities have a rating of at least AA-/Aa3. Securities issued by financial institutions are ineligible, with the

overnight against high-quality securities with the purpose of bridging surprise short-term liquidity issues such as delayed receipt of payments, where funding can't be obtained quickly enough. But those programs no longer looked sufficient.

By that point, it was unclear to the SNB whether CS would have enough collateral—particularly at the level of the parent group, which could more readily make liquidity available to nondomestic units—to access adequate liquidity through these two facilities to open on Monday. “We couldn’t take that risk,” Schlegel said in the interview. “We needed enough firepower to make it through the weekend” (Fuster and Müller 2023, 8). During the evening, CS filed a formal request for liquidity assistance from the SNB. Also on March 15, authorities reportedly told the chair and CEO of CS, “You will merge with UBS and announce Sunday evening before Asia opens. This is not optional” (Morris et al. 2023; SNB 2023f; SNB 2024; SNB n.d.; Swiss Parliament 2024).

Around 1:45am on Thursday, March 16, CS announced measures to strengthen liquidity, including its intention to access the SNB’s standing liquidity facilities for up to CHF 50 billion. In the early morning of March 16, a telephone call took place between the heads of FINMA, the SNB, and Federal Department of Finance (FDF; the Swiss finance ministry) and CS’s CEO and chairman of the board of directors. During this meeting, Swiss Finance Minister Karin Keller-Sutter informed CS that the bank was to merge with UBS before Sunday evening. Around 7:45am that same day, FINMA’s board of directors met for an extraordinary meeting in which it reviewed key figures from CS’s application to the SNB and unanimously approved the necessary solvency certificate for the bank. Ultimately, CS drew on both SNB standing facilities for a total of CHF 48 billion—CHF 38 billion from the ELA and CHF 10 billion from the LSFF (SNB 2023f; Swiss Parliament 2024).

Later in the day, the Federal Council, the seven-member executive cabinet of Switzerland including the president, met with the heads of FINMA, the SNB, and the FDF to consider the creation of two new ad hoc emergency liquidity facilities through which the SNB would make up to CHF 200 billion available to the newly merged bank. During this meeting, the financial authorities informed the Council that, in their joint opinion, CS would not survive until Monday without this support. The rating agencies intended to downgrade CS to non-investment grade on Monday. The Council instituted the new facilities through an emergency ordinance that allowed the SNB to accept collateral ineligible under the standing ELA. Both new facilities—called ELA+ and the public liquidity backstop (PLB)—were collateralized by preferential rights in bankruptcy proceedings, with the PLB also secured by a federal default guarantee.⁷ On March 16 alone, CS experienced liquidity losses between CHF 14 billion and CHF 17 billion. Fed officials told FINMA that without liquidity support, it could not rule out the default of the CS’s US subsidiary. On Friday, March 17, CS first used one of the two new

exception of covered bonds whose issuer is not a domestic bank or its foreign subsidiary and securities issued by Swiss mortgage banks (SNB 2023d, 4–5).

⁷ Members of the Federal Council initially expressed hesitancy to create both facilities without a concrete plan in place for CS going forward. Once convinced that these facilities would be useful across all likely scenarios (including the possible nationalization of CS), Council members asked to review CS’s balance sheet to assess the bank’s realizable assets and determine the risks to the Swiss Confederation (Swiss Parliament 2024).

facilities, the ELA+, to borrow CHF 20 billion (Jordan 2023a; SFC 2023a; SNB 2023a; SNB 2023f; Swiss Parliament 2024).

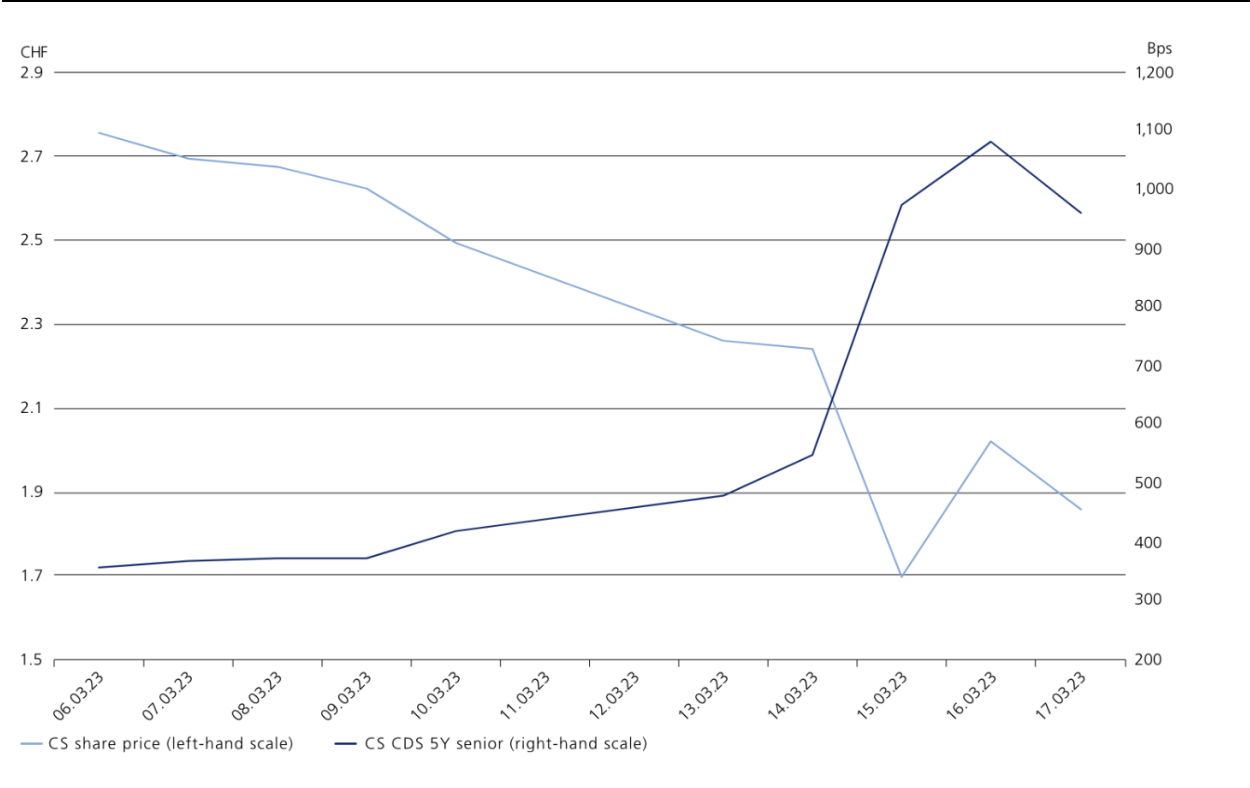
During the weekend of March 18–19, the US Federal Reserve increased its liquidity requirements for CS's US subsidiary from USD 18 billion to USD 26 billion.⁸ On March 19, the Swiss government announced UBS would acquire CS and separately announced that the Council had approved the two new emergency liquidity facilities. On Monday, March 20, CS drew an additional CHF 30 billion (CHF 20 billion in US dollars, CHF 5 billion in Swiss francs and CHF 5 billion in euros) under the ELA+ and CHF 70 billion (CHF 45 billion in US dollars, CHF 20 billion in Swiss francs, and CHF 5 billion in euros) under the PLB. Despite the Swiss government's announcement of the two new facilities and the merger with UBS, CS continued to experience outflows of deposits and other client assets in the following weeks. Across the standing and ad hoc facilities, the SNB's liquidity assistance to CS peaked at CHF 168 billion (CS 2023a; SNB 2023a; SNB 2023b; SNB 2023f; Swiss Parliament 2024).

As of May 31, 2023, CS had fully repaid the PLB loan. UBS said CS had also fully repaid the ELA+ funds as of August 10, 2023, and that UBS decided to terminate the PLB agreement on August 11, 2023. As of the end of the second quarter of 2023, the SNB had earned CHF 900 million in interest income from its loans to CS and UBS. As of March 22, 2024, CS had repaid loans under the standing ELA facility, bringing the total outstanding down from CHF 38 billion to CHF 19 billion (CS 2024; Patrick 2023; Revill 2023b; SNB 2023f; UBS 2023b; UBS 2023c).

For more information regarding CS's financial standing during March 2023, see Figures 1 and 2. For a timeline of the Swiss government's provision of emergency liquidity to CS during the crisis, see Figure 3.

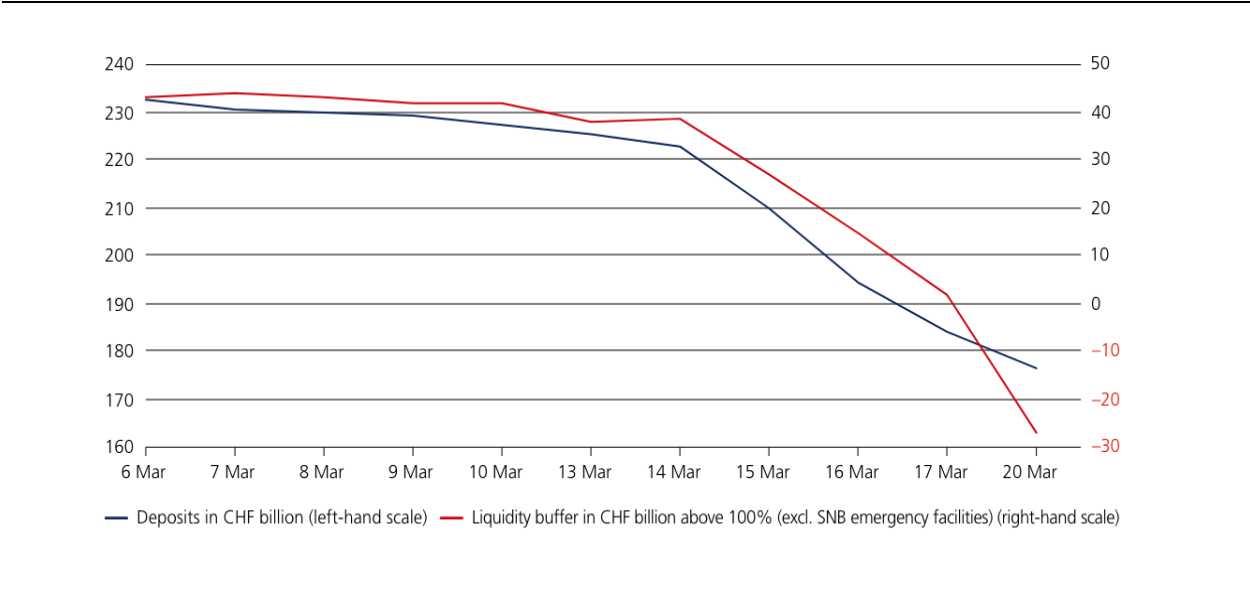
⁸ The Swiss Parliament investigation reported that the Fed had asked Credit Suisse's US subsidiary to inform it if its liquidity fell below USD 18 billion and was uncomfortable with CS's using its local liquidity. In November 2022, a Fed official dismissed the idea of CS's merging with a US bank—for fear of contagion (Swiss Parliament 2024).

Figure 1: CS Share Price and Credit Default Swaps Spreads, March 9–17, 2023



Source: FDF 2023e.

Figure 2: CS Deposits and Liquidity Buffers above 100% LCR, March 6–20, 2023



Source: FDF 2023e.

Figure 3: Timeline of Emergency Liquidity to CS

Date	Event
Oct. 27, 2022	CS announces new strategy and transformation plan, raises capital.
Nov. 1, 2022	S&P downgrades CS's ratings at group level to BBB- and bank level to A-, cites uncertainty around execution of the plan.
Nov. 23, 2022	CS holds its general shareholder meeting to approve two capital increases and issues warning about profit for Q4 2022.
Feb. 9, 2023	CS reports a net loss of CHF 7.3 billion for 2022 and notes significant outflows from assets under management and deposits.
March 9, 2023	CS announces delay in publication of its 2022 annual report after the SEC expressed concerns about the 2021 annual report.
March 10, 2023	Silicon Valley Bank (SVB) fails and is closed by the California Department of Financial Protection and Innovation.
March 12, 2023	Signature Bank fails and is closed by the New York State Department of Financial Services. Federal authorities invoke the systemic risk exception to guarantee depositors at SVB and Signature Bank.
March 15, 2023	Saudi National Bank, CS's largest shareholder, publicly rules out additional capital injections for CS. Around 9pm, CS formally requests ELA from the SNB.
March 16, 2023	Around 1:45am, CS announces its intention to access the SNB's standing liquidity facilities for up to CHF 50 billion in aggregate alongside other measures to strengthen liquidity. At 7:45am, FINMA's board of directors unanimously approves the issuance of a solvency certificate to CS. At 2pm, the SNB grants CS CHF 38 billion as ELA and CHF 10 billion through the LSFF. At 5:15pm, the extraordinary session of the Federal Council passes the emergency ordinance authorizing the ELA+ and PLB. At 8pm, the emergency ordinance takes effect. From 8:30pm to 9pm, a conference call takes place between FINMA and CS management regarding the emergency ordinance.
March 17, 2023	SNB provides ELA+ of CHF 20 billion to CS.
March 19, 2023	FINMA's board of directors meets twice to discuss the possibility of forcing a merger between CS and UBS. Around 5pm, UBS announces its takeover of CS. The Swiss government announces that UBS and CS can access existing SNB facilities as well as obtain liquidity through two new emergency assistance facilities.

March 20, 2023	SNB provides additional ELA+ of CHF 30 billion, further liquidity assistance of CHF 70 billion under the PLB.
April 14, 2023	Federal Reserve approves UBS's acquisition of CS's US subsidiaries.
May 25, 2023	European Commission approves the merger between UBS and CS.
May 31, 2023	CS fully repays PLB borrowings. Other amounts outstanding total CHF 88 billion: CHF 38 billion from ELA and CHF 50 billion from ELA+.
June 12, 2023	UBS announces the completion of its acquisition of CS and delisting of shares.
Aug. 11, 2023	UBS announces voluntary termination of the loss protection agreement and PLB; says CS has fully repaid ELA+.

Source: Authors' analysis.

Summary Evaluation

In an interview in *Neue Zürcher Zeitung*, SNB Vice President Martin Schlegel described the loans collateralized by bankruptcy privilege as unusual and said the SNB “reached its limits” in doing them, though he did not elaborate. Schlegel also said without the ELA+, CS would not have made it through the weekend (Fuster and Müller 2023, 8).

In a speech in April 2023, SNB Chairman Thomas Jordan said regulations would have to be changed to ensure banks hold sufficient assets even in extreme situations to access necessary liquidity from the ELA or LSFF without needing the Parliament to pass an emergency law (Jordan 2023a, 5).

The SNB's 2023 Financial Stability Report said the acquisition of CS restored market confidence and, in the days following March 19, Credit Suisse's credit default swaps premiums began to converge with those of UBS. UBS also has said that the ELA+ and PLB, along with its own actions, promoted financial stability in Switzerland and globally. In later materials, the SNB described the measures from FINMA and the SNB as necessary due to the “acute crisis of confidence” at CS (SNB 2023b). It said the provision of liquidity in Swiss francs and foreign currencies ensured the takeover was possible and allowed the banks to continue to access liquidity after the acquisition by UBS (SNB 2023b; SNB 2023f; UBS 2023c).

The SNB annual report for 2023 said that the CS experience showed neither its compliance with liquidity requirements nor the collateral it had prepared for emergency liquidity assistance were sufficient to cover the spike in liquidity demands. It added that the CS experience illustrated that successfully stabilizing or resolving an institution is substantially challenged if the bank has already seen a large erosion of its deposit base (SNB 2024).

A *Wall Street Journal* article said that the rescue saved Switzerland's banking system but exposed weaknesses in its financial supervision and in the capital and liquidity rules for large banks. On May 17, 2023, the FDF set up an expert group to report on the role of banks and state frameworks with respect to the stability of the Swiss financial center. The Report of the Expert Group recommended that the PLB be converted into ordinary law and that any future PLB should be: (1) used only after other measures have been exhausted, (2) limited to

systemically important banks, (3) used only when a restructuring procedure is underway, and (4) priced to include a commitment premium as well as a risk premium to the government and the SNB. The Report of the Expert Group also provided a secondary plan for a similar facility should the PLB not be approved. The report said that ELA+, the unsecured facility without the default guarantee, should not become the norm given the risks the SNB took with zero collateral lending. On November 9, 2023, the SNB's Schlegel gave a speech expressing similar sentiments. According to Schlegel, although the ELA+ was "necessary" in CS's case, the facility was "not a model for managing future crises" as the blanket provision of liquidity assistance without collateral violated the "institutionally appropriate" division of roles between the central bank and the government (Schlegel 2023, 8). In the future, Schlegel advises, the PLB should take effect in situations where the SNB's regular emergency liquidity assistance proves insufficient (FDF 2023e; Schlegel 2023).

The Report of the Expert Group also found that CS's ability to access liquidity through the SNB's standing facilities was limited by its inadequate preparation, particularly at the parent group level. CS needed liquidity in its branches outside Switzerland, but the parent company had only a small amount of acceptable collateral. For the foreign branches to access SNB liquidity, the Swiss unit would have had to obtain liquidity from the SNB and send the funds to the parent company, which would then have to send them back downstream to other branches. The Swiss unit intentionally limited the amount of upstream liquidity it provided to not risk an activation of the Swiss emergency plan, a plan that contains various measures to maintain a bank's domestic systemically important functions in the event of nearing insolvency. The ELA+ solved this issue by providing liquidity directly to the parent company without the delivery of any collateral. In the fall of 2022, the SNB asked CS to identify further balance sheet assets that could be used as SNB collateral, but CS failed to do so materially. Thus, CS was not able to take advantage of its full theoretical capacity of SNB liquidity assistance before the SNB needed to resort to the ELA+ and PLB; though, the SNB said that even if CS had been prepared to get more liquidity from the regular ELA facility, it likely would've still needed the PLB owing to the size of its liquidity demands (FDF 2023e; SNB 2024).

The 2024 report of the parliamentary investigation into CS's failure finds that the SNB never believed that the provision of emergency liquidity alone would be sufficient to prevent CS from failing as the underlying problem was a crisis of confidence within the market. Per this report, the SNB believed that, absent the ELA from standing facilities on Thursday, March 16, and ELA+ the following day, CS could have become insolvent as early as March 17. The report also notes disagreement among the Swiss authorities regarding the quantity of ELA+ lending to CS, with the leadership of FINMA arguing that the SNB should have considered CS to have more collateral and applied lower haircuts (Swiss Parliament 2024).

Some observers have suggested that CS's failure revealed flaws in the design of the LCR, which supervisors implemented around the world after the Global Financial Crisis of 2007–2009 (GFC) to promote banks' liquidity. The outflows in just 10 business days around the time of its merger with UBS matched the entire amount of high-quality liquid assets needed to meet the LCR, which is calibrated for a 30-day stress scenario. A December 2023 report by FINMA noted that the department had introduced new liquidity requirements after CS's

failure for systemically important banks to address shortcomings of the LCR, set to take effect January 2024. These new regulations require banks to prepare for higher and lengthier outflows of deposits, operating cash requirements for intraday liquidity, and the possibility of liquidation or restructuring (FINMA 2023e).

The SNB also said that liquidity regulations needed to be strengthened and that banks should be required to prepare much greater amounts of collateral to be used at the SNB (and foreign central banks) to access liquidity. The Federal Council's report on banking stability from April 10, 2024, includes three recommendations to improve stability in the Swiss banking system: (1) individual banks should be required to hold more liquidity; (2) the SNB's toolkit to provide liquidity to distressed banks should be expanded through inter alia the creation of a broad-based public liquidity backstop for future crises; and (3) resolution planning should be expanded to allow large banks to make an orderly exit from the market (FDF 2024; SFC 2024; SNB 2024).

In its Article IV Consultation Report for Switzerland for 2023, the IMF Executive Board commended Swiss authorities for their "decisive actions to address financial stability concerns" during CS's failure (IMF 2023, 7). The report also urged Swiss authorities to review CS's merger with UBS and continue monitoring nonbank financial institutions, as well as the real estate and fintech sectors for potential vulnerabilities (IMF 2023).

Context: Switzerland 2022–2023	
GDP (SAAR, nominal GDP in USD)	\$818.4 billion in 2022
	\$884.9 billion in 2023
GDP per capita (SAAR, nominal GDP in USD)	\$93,245.8 in 2022
	\$99,564.7 in 2023
Sovereign credit rating (long-term debt)	Moody's: Aaa in 2022
	S&P: AA+ in 2022
	Fitch: AA+ in 2022
	Moody's: Data not available in 2023
	S&P: Data not available in 2023
	Fitch: Data not available in 2023
Size of banking system	Data not available in 2022
	Data not available in 2023
Size of banking system as a % of GDP	Data not available in 2022
	Data not available in 2023
Size of banking system as a % of financial system	Data not available in 2022
	Data not available in 2023
Five-bank concentration of banking system	Data not available in 2022
	Data not available in 2023
Foreign involvement in banking system	Data not available in 2022
	Data not available in 2023
Existence of deposit insurance	Yes in 2022
	Yes in 2023

Sources: Bloomberg; World Bank Deposit Insurance Dataset; World Bank Global Financial Development Database.

Key Design Decisions

- 1. Purpose: The SNB implemented two ad hoc emergency liquidity facilities to support UBS's purchase of Credit Suisse and provide liquidity beyond what was available through its standing facilities.**

At the end of 2022, Switzerland had two global systemically important banks (GSIBs), Credit Suisse and UBS. As of December 31, 2022, CS had total assets of CHF 531.4 billion and total deposits of CHF 245.1 billion. This represented a decrease in total assets of CHF 224.5 billion and total deposits of CHF 166.6 billion compared to the end of the previous year (CS 2023d; SNB 2023f).

The SNB determined on Wednesday, March 15, that it would need to extend more liquidity to CS than the company could secure with its available collateral through the SNB's existing standing facilities to ensure the bank could survive through the weekend. The next day, the Federal Council instituted two new facilities—the ELA+ and the public liquidity backstop (PLB)—through an emergency ordinance. The use of ELA+ before the weekend allowed CS to make it to the weekend. According to FINMA, CS's liquidity position as of March 19 left it at the “point of nonviability,” despite its strong capital ratios, and FINMA would have implemented a single-point-of-entry bail-in resolution of CS, had the bank not agreed that day to merge with UBS (FSB 2023, 6). On Sunday, March 19, 2023, UBS announced it was taking over CS. Alongside the announcement of the UBS purchase of CS, the SNB officially announced the two new liquidity facilities, each of which could be drawn on for up to CHF 100 billion (Fuster and Müller 2023; SNB 2023a; SNB 2024).

The agreement for UBS to take over CS included a condition providing that if access to the PLB and ELA+ became unavailable and was not replaced before the closing of the transaction, UBS or CS could terminate the merger agreement. SNB Chairman Thomas Jordan said that “by making liquidity assistance available on an unprecedented scale,” the SNB both provided CS with time to find a solution and provided “significant support” for the UBS acquisition of CS—adding that the liquidity support remained “crucial” even after the merger announcement (Jordan 2023b, 2). The SNB reported that, along with the UBS acquisition and the government-provided asset guarantees, the ongoing liquidity provision was crucial to restoring market confidence as it ensured the market that CS would be able to continue to meet any demands on its liquidity (SNB 2024; UBS and SEC 2023).

SNB Vice President Martin Schlegel said in an interview in *Neue Zürcher Zeitung* that regulators never questioned the solvency of CS and noted that the bank met regulatory requirements for capital according to FINMA. Schlegel also said that, as lender of last resort, the SNB lends to solvent banks in emergency scenarios but that solvency must be confirmed by FINMA because the SNB is not a supervisory authority. The SNB's guidance for its standing emergency liquidity facilities requires that a bank be systemically important and solvent and that the assistance be “fully covered by sufficient collateral,” as assessed by the SNB (SNB 2023d), to be eligible. The Federal Council's emergency ordinance required that FINMA confirm either the solvency of the borrower or the implementation of a resolution plan

among the conditions necessary for lending with the federal default guarantee, that is, under the PLB (Fuster and Müller 2023; SFC 2023a).

The Swiss parliamentary investigative commission report later revealed that, when amending the emergency ordinance on March 19, the Swiss Federal Council, the nation's highest executive authority, had also considered adding an article to the emergency ordinance which would *force* CS to accept the merger with UBS. Ultimately, the Council decided against such a measure out of concern that a compelled merger would exonerate CS from liability. Also on March 19, the Federal Council drafted a proposal for the temporary nationalization of CS, which the financial authorities found to be less preferable to the takeover by UBS and likely to require the same emergency liquidity measures (Swiss Parliament 2024).

Marlene Amstad, chair of FINMA's board of directors, said in a speech in April 2023 that on March 19, 2023, both resolution and bankruptcy plans were ready for signature and that FINMA was keeping as many options open as possible. Temporary nationalization of the bank was also an option at that point. The Federal Council viewed the temporary public ownership option as less preferable than a private takeover for a variety of regulatory, legal, and risk considerations. The Council also said the massive loss of confidence leading up to March 19 made it highly debatable whether a capital increase and restructuring of the bank under the bank recovery and resolution regulation adopted after the GFC could have restored confidence. The Council described bankruptcy as potentially hugely destabilizing even with the Swiss emergency plan meant to ensure continual operation of the domestic systemically important functions of the bank. Swiss authorities did not actively plan for a combined resolution and transfer to an acquirer; however, the Financial Stability Board (FSB) noted that, even in such a case, ad hoc SNB liquidity support would have still been necessary to cover liquidity outflows and help instill market confidence. The Report of the Expert Group similarly said that FINMA's three options—resolution, public ownership, or merger with UBS—all would have required material SNB liquidity provision with the government providing guarantees for some of the SNB's assistance (FDF 2023d; FDF 2023e; FINMA 2023d; FSB 2023).

2. Part of a Package: The government provided loss protection to UBS as part of the merger and ordered the write-down of additional Tier 1 debt instruments.

In addition to the ELA+ and PLB facilities, CS and UBS had access to standing liquidity facilities, the ELA and LSFF. The ELA allows for borrowing against illiquid assets of the banking sector that can be legally transferred or pledged as collateral to provide liquidity via the ELA facility. The LSFF allows banks to borrow overnight against high-quality securities (that is, those eligible as collateral for SNB repurchase agreements, or repos) with the purpose of bridging surprise short-term liquidity issues such as delayed receipt of payments. The universe of eligible collateral is developed in dialogue with the SNB and reviewed on an ongoing basis. CS drew CHF 38 billion from the standing ELA facility and CHF 10 billion from the standing LSFF facility in March 2023 (SNB 2023a; SNB 2023d; SNB 2023f; SNB n.d.).

The federal government provided a loss guarantee of up to CHF 9 billion for UBS as part of the takeover of Credit Suisse wherein UBS agreed to take on the first CHF 5 billion in losses before relying on the guarantee. The protection covered a specific set of CS assets that “did not fit” UBS’s strategy and would apply only if UBS lost more than CHF 5 billion on the sale of those assets. The *Financial Times* reported that UBS negotiated the loss guarantee as part of the agreement to increase its purchase offer to USD 3.3 billion in stock from USD 1 billion (FDF 2023c; Morris et al. 2023).

The emergency ordinance from March 19, 2023, also authorized FINMA to order CS to fully write down additional Tier 1 (AT1) debt instruments and specified that the PLB assistance met the contractual conditions for doing so. CS had 13 contingent convertible bonds outstanding worth about CHF 16 billion, all of which could be written down to zero if bank capital fell below 7% of risk-weighted assets, known as a contingency event, or if measures to boost capital were deemed insufficient to prevent insolvency, known as a viability event. The terms of CS’s AT1 instruments specified that receiving extraordinary government support qualified as a viability event: As a result, FINMA considered the extension of the PLB line with the federal default guarantee to meet the contractual basis for writing down the AT1 instruments. Based on both the contractual provisions and the emergency ordinance, FINMA ordered CS to write down to zero approximately all CHF 16 billion worth of AT1 bonds, which eliminated the bank’s liabilities under the bonds and significantly raised the bank’s capital ratios (Benjamin and Vossos 2023; FINMA 2023b; FINMA 2023c; SNB 2023f).

3. Legal Authority: The SNB’s ability to create the ad hoc lending facilities was based on an emergency ordinance passed by Switzerland’s Federal Council; the lower house of Parliament voted symbolically against the taxpayer-backed assistance in the PLB and called for an investigation.

Since March 2022, Switzerland’s Parliament had been considering a broad-based PLB program (with the federal guarantee) for the country’s large banks, but a decision wasn’t expected until mid-2023. SNB Vice President Martin Schlegel said that because the broad-based PLB plan required the approval of Parliament, it could not be used to address the CS crisis in a timely manner (Fuster and Müller 2023; Hughes-Neghaiwi 2023).

The Swiss Federal Council, the nation’s highest executive authority, made the decision to authorize both lines under emergency law and to provide the SNB with a federal default guarantee for the PLB loans. On March 16, 2023, the Council issued an emergency ordinance authorizing both ad hoc liquidity lines based on Article 184, Paragraph 3 and Article 185, Paragraph 3 of the Federal Constitution, which authorize the Council to issue emergency ordinances with a limited duration to safeguard the country against imminent threats to public order or stability. This allowed the SNB to create an ad hoc PLB facility for UBS and Credit Suisse without parliamentary action on the broad-based PLB proposal. While the Federal Council initially envisioned that the ELA+ would grant the SNB statutory liens on specific assets (which would have potentially had effects beyond Swiss borders); however, owing to the urgency of the CS crisis and the legal complexity of this proposal, the final ELA+ only provided the SNB with preferential rights in bankruptcy proceedings (SNB 2023f; Swiss Parliament 2024; The Swiss Confederation 2022).

The emergency ordinance was amended on March 19 when the Council added language relating to the loss-protection guarantee granted to UBS. In its March 19 press release, the SNB cited the emergency ordinance as the basis for both ad hoc liquidity programs. On March 29, Alain Berset, then president of Switzerland, released a supplementary document saying “the authorities were able to build on the work on the [PLB] announced by the Federal Council in March 2022” when authoring the emergency ordinance and would submit a bill to Parliament to replace the ordinance within six months (Berset and Thurnherr 2023, 9; SFC 2023a; SFC 2023b; SNB 2023f; The Swiss Confederation 2022).

The SNB acts as lender of last resort on the basis of Article 9, Paragraph 1, Section (e) of the National Bank Act, which says the SNB may “enter into credit transactions with banks and other financial market participants on condition that sufficient collateral is provided for the loans” (SFC 2021, art. 9). Article 5, Paragraph 2, Section (a) of the National Bank Act mandates the SNB to provide the Swiss franc money market with the necessary liquidity, and Section (e) tasks the SNB with contributing to the stability of the Swiss financial system (SFC 2021; SNB 2023c).

During a budgetary vote on April 11, the Swiss National Council, the lower house of the Swiss Parliament, voted against the ad hoc PLB facility for CS and the loss-protection guarantee for UBS. As a result of this vote, the default guarantee was formally rejected, despite its being already legally binding through the SNB. The Federal Council noted that the SNB had already committed the amounts authorized by the emergency ordinance, making the impact of the vote null, and that the vote was debated under the premise of it being nonbinding. Parliament also launched an investigation into the aid to CS, publishing the full report in December 2024 (FDF 2023b; Patrick 2023; Revill 2023a, 1; Swiss Parliament 2023; Swiss Parliament 2024).

4. Administration: The SNB loaned the funds, and the federal government provided the default guarantee.

The SNB provided the loans. In its emergency ordinance, the Federal Council set a maximum level of liquidity assistance loans payable by the SNB. Under this ceiling, the SNB was responsible for setting all other conditions for the loans (SFC 2023a; SFC 2023b; SNB 2023f).

The Federal Council issued the emergency ordinance authorizing the two ad hoc emergency liquidity facilities and decided to provide the federal default guarantee for the PLB facility. Per the emergency ordinance, three conditions needed to be met for the Confederation to grant a default guarantee: (a) significant harm to the Swiss economy and financial system could not otherwise be averted; (b) the liquidity assistance loans were deemed necessary to the continuity of the borrower; (c) FINMA had confirmed the solvency of the borrower or that a recovery plan had been implemented (FDF 2023a; SNB 2023a).

Additionally, under the emergency ordinance, ELA+ and PLB loans could be disbursed only when FINMA had confirmed to the FDF that the borrower had exhausted all other possible sources of financing. The SNB was also required to confirm with the FDF on the first disbursement of PLB that the borrower had no suitable collateral left to secure ELA or ELA+ (FINMA 2023e).

CS drew CHF 20 billion under the ELA+ facility on March 17, two days before the announcement of the ad hoc facilities. All liquidity assistance was provided immediately upon the bank's request (SNB 2023f; SNB 2024).

5. Governance: The Swiss Federal Council decided to review the too-big-to-fail framework at the end of March 2023.

Article 52 of the Banking Act requires that the Federal Council release regular reports on systemically important banks, the most recent of which was made publicly available in April 2024. At the end of March 2023, the Council decided to review the takeover and evaluate the too-big-to-fail framework (FDF 2023d; Swiss Federal Council 2024).

On April 5, 2023, Federal Department of Finance released a factsheet covering terms of the loans and default guarantee. It said the government considered any loss on the PLB loan to be unlikely. The factsheet also said that, in the event of losses, the federal government—as the guarantor, as opposed to the lender (the SNB)—would not have to bear them until the end of bankruptcy proceedings, which it said could take 10 years or more for a systemically important bank, and even then, the government would have five years to raise funds (FDF 2023c).

Legislators established a parliamentary commission to investigate the actions of regulators and public officials surrounding Credit Suisse's failure and merger with UBS; the commission reported its findings publicly on December 17, 2024. Prior to the report's publication, the government came under criticism in the media after announcing that the investigation's files won't be available for 50 years, rather than the usual 30 years (Revill 2023a; Revill and Janowski 2023; Swiss Parliament 2024).

In December 2023, FINMA issued a report on the "Lessons Learned from the CS Crisis," reviewing FINMA's actions and impact during the crisis and proposing amendments to its existing regulatory authority. These proposed amendments were under examination by the FDF and FINMA as of the report's publication (FINMA 2023e).

The Federal Council's report on banking stability from April 2024 includes three focus areas for improving the stability of the Swiss financial system: (a) strengthening the prevention regime (in other words, improvements to corporate governance and supervision, capital requirements, and early intervention strategies); (b) strengthening the SNB's liquidity regime through the creation of a broad-based public liquidity backstop; and (c) expanding the government's crisis toolkit (in other words, resolution planning) and increasing cooperation among FINMA, the SNB, and the FDF (SFC 2024).

6. Communication and Disclosure: Market confidence in CS weakened owing to news coverage of a series of losses by the bank and a negative public statement from the bank's largest shareholder. In response, the SNB announced both ad hoc emergency liquidity facilities in a press release on March 19, 2023.

CS issued a profit warning in June 2022 after reporting losses during two consecutive quarters. Following ratings downgrades, worsening macroeconomic conditions, and

liquidity outflows in the latter half of 2022, CS announced a revised strategy that also failed to quell negative market rumors about the health of the bank. On March 9, 2023, CS announced a delay in the publication of its 2022 annual report owing to concerns regarding weaknesses in the bank's financial accounting controls.

On Wednesday, March 15, the chair of Saudi National Bank, CS's largest shareholder, said in a Bloomberg TV interview that the bank would not provide any additional capital to CS, noting that it could not do so without exceeding the regulatory threshold of 10%, which would have subjected the bank to additional controls. The SNB called this "probably the ultimate trigger" to the loss of market confidence in CS, reflected by a 24% decline in CS's stock price over the same day (BIS 2023; CS 2023b; Gamal El-Din and Halftermeyer 2023; McCabe and Mitchell 2023; SNB 2023f, 38).

Also on that day, FINMA and the SNB issued a joint statement saying that CS still met capital and liquidity requirements and that the government was prepared to provide liquidity assistance to CS as needed. Early the next morning, CS announced that it would draw up to CHF 50 billion in ELA. Per the December 2024 parliamentary investigation report, CS included a specific amount of liquidity support in its press release to attempt to calm the market; however, Swiss authorities were surprised by this decision as the amount of liquidity could have been viewed as insufficient by market participants. Ultimately, according to the Bank for International Settlements (BIS), "these actions did not reassure the markets," and large outflows continued (BIS 2023, 13–14). CS AT1 bonds fell from 72 cents on Tuesday to 31 cents on Wednesday and recovered to 35.5 cents only following the FINMA and SNB announcement (CS 2023c; Dow Jones 2023; FINMA 2023a; Kowsmann, Ostroff, and Patrick 2023; Swiss Parliament 2024).

On March 18, communications representatives for the Swiss financial authorities met jointly with liaisons from CS and UBS. In its conditions for accepting the merger, UBS listed official coordinated communication by the authorities, including a joint press conference with both banks. Those present at the meeting agreed that a press release regarding the merger should be ready in the event that a successful agreement was reached the following day and that the authorities and banks would coordinate further communications regarding the takeover (Swiss Parliament 2024).

On March 19, the SNB announced the two ad hoc emergency liquidity facilities, ELA+ and the PLB, alongside the announcement of UBS's takeover of Credit Suisse. Per the parliamentary investigation report, the Swiss authorities had considered announcing the new ad hoc facilities in a separate press release prior to the merger agreement; however, they decided against doing so out of fear that markets would react negatively to the sole news that the previous lending to CS had been inadequate. The report also notes that CS wanted to announce its intention to repurchase USD 2 billion in AT1 bonds, but FINMA had prevented CS from doing so out of fears of contagion. That same day, the Federal Council held a joint press conference with representatives from UBS and CS, primarily in English. Per the spokesperson of the Federal Council, the authorities sought to inform the public of the terms of merger before the Asian stock exchanges opened and provide reassurance to financial markets and foreign authorities (SNB 2023a; Swiss Parliament 2024).

The SNB's press release also cited the Federal Council's emergency ordinance as the basis for the ELA+ and the PLB. The emergency ordinance is publicly available on the Federal Council's website. The press release disclosed the size of the facilities and said that CS and UBS had access to the standing facilities, ELA and LSFF, as well. On March 29, the Federal Council released a public report to the Swiss Parliament detailing the motivations for the emergency ordinance and requesting support for its implementation (Berset and Thurnherr 2023; SFC 2023a; SNB 2023a; SNB 2023f).

The SNB detailed the usage of the ad hoc emergency liquidity facilities in its Financial Stability Report 2023, released on June 12, 2023. Both the vice president of the SNB and the chairman of the Governing Board of the SNB spoke publicly about the aid to Credit Suisse. The SNB's interim report for the end of June 2023 disclosed some information about the interest earned on the loans (Fuster and Müller 2023; Jordan 2023a; SNB 2023e; SNB 2023f).

The SNB and UBS issued press releases on August 11, 2023, to disclose the repayments of both the ELA+ (August 2023) and the PLB (May 2023)—and the termination of the PLB arrangement and the CHF 9 billion loss guarantee. These included some information about the fees associated with the loans and with the federal guarantee. They also said UBS would continue to focus on the successful integration of CS and that the terminations of the loss agreement and PLB were voluntary (SNB 2023b; UBS 2023c).

7. Source and Size of Funding: The SNB made a maximum of CHF 200 billion available across the two new facilities, of which the bank's usage peaked at CHF 120 billion, in addition to CHF 48 billion from the existing standing facilities.

The Federal Council's emergency ordinance on March 16, 2023, gave CS immediate access to CHF 100 billion under the ELA+ (SNB 2023f, 23). The March 19 amendment to the ordinance meant a further CHF 100 billion could be lent under the PLB, which had the same bankruptcy rights, as well as a federal default guarantee to protect the SNB (SNB 2023f, 23, 38). The *Financial Times* reported that UBS negotiated for the CHF 100 billion PLB and government loss guarantee from the state in exchange for agreeing to pay a higher purchase price for CS (Morris et al. 2023, 8). The Federal Council set the maximum size for both the ELA+ and PLB liquidity lines (Fuster and Müller 2023; Morris et al. 2023; SNB 2023f).

CS drew CHF 20 billion from the ELA+ facility on March 17 and a further CHF 30 billion on March 20. CS drew an additional CHF 70 billion under the PLB on March 20. CS had also drawn CHF 38 billion from the standing ELA facility and CHF 10 billion from the standing overnight LSFF facility on March 16. The total liquidity assistance to CS peaked at CHF 168 billion (SNB 2023b; SNB 2023f).

The SNB and the Federal Council structured the liquidity assistance so that, in combination with the bank's liquidity buffers, it would cover virtually all of CS's short-term liabilities. The CHF 200 billion in available emergency liquidity was equivalent to more than one-quarter of Switzerland's 2022 GDP, according to World Bank data. The SNB called the CHF 168 billion in total liquidity extended to CS "the largest amount of liquidity assistance ever provided to a single bank anywhere in the world" (SNB 2023f; SNB 2024; World Bank n.d.).

The SNB provided a significant amount of the liquidity assistance in foreign currency—euros and dollars. The SNB is able to access foreign currency by using its own reserves or by obtaining it through global markets; its swap lines with other central banks; and the Federal Reserve’s FIMA Repo Facility, which swaps US Treasuries collateral for dollars. (For more information of the FIMA Repo Facility, see Kelly [2023].) The SNB made the foreign currency available to CS through overnight swaps against the liquidity assistance provided in Swiss francs. The SNB reported that foreign currencies accounted for a large part of the amounts extended under ELA+ and the PLB (SNB 2023f; SNB 2024).

In May 2024, SNB Governing Board Member Antoine Martin reported that “almost half” the CHF 168 billion/USD 182 billion of liquidity assistance was provided in dollars (though the Swiss Parliament reported a higher figure). He also said the SNB sourced those dollars “mainly” through the Fed’s FIMA Repo Facility (Martin 2024). The Swiss parliamentary report notes the SNB had converted part of its foreign exchange reserves to cash as a precautionary measure. The SNB reported posting USD 75 billion of its US Treasury collateral to the FIMA facility, though the Fed’s weekly data does not show borrowing in excess of the FIMA facility’s USD 60 billion flexible cap, at least on the surrounding Wednesdays (when the Fed data is captured). Reuters reported the SNB borrowing the USD 60 billion cap from the FIMA facility. The Swiss parliamentary investigation report notes that the CHF 48 billion of ELA borrowing included USD 8 billion in US dollars and EUR 2 billion. The CHF 50 of ELA+ borrowing included CHF 40 billion in US dollars, CHF 5 billion in euros, and CHF 5 billion in Swiss francs. The CHF 70 billion of PLB borrowing comprised CHF 45 billion in US dollars, CHF 5 billion in euros, and CHF 20 billion in Swiss francs. That is, the SNB provided a combined CHF 92 billion (USD 100 billion) in US dollars (FRBSL n.d.; Kelly 2023; Martin 2024; O’Donnell, Spezzati, and Martinuzzi 2023; Revill 2023b; Swiss Parliament 2024).

As of May 31, 2023, CS fully repaid the PLB loans. CS fully repaid the ELA+ funds as of August 10 and terminated the PLB agreement on August 11. As of the end of the second quarter of 2023, the SNB had earned CHF 900 million in interest income from its loans to CS and UBS. As of March 22, 2024, CS had repaid loans to the SNB’s standing ELA facility, bringing the amount outstanding down from CHF 38 billion to CHF 19 billion (CS 2024, 59; SNB 2023b; SNB 2024).

8. Rates and Fees: The ELA+ and PLB loans charged the SNB policy rate plus a 3% premium; the PLB also charged a 0.25% commitment premium for the federal guarantee.

The ELA+ loans and the PLB loans charged a premium of 3% over the SNB policy rate—which was then 1.5%—for a total of 4.5%. All of the interest on the ELA+ loans went to the SNB; the 3% premium on the PLB facility was split evenly between the SNB and the federal government. The interest was due monthly and calculated daily on the basis of outstanding loans. The interest rate applied only to funds drawn. SNB Vice President Schlegel said the rate had to be above the usual market rate but not so expensive that it stopped the bank from getting out of its problems. According to the Federal Council’s dispatch on the introduction of the PLB, the risk premium on these liquidity assistance loans was based on the costs to

the Swiss Confederation and SNB associated with the default guarantee (Berset and Thurnherr 2023, 48; FDF 2023c; Fuster and Müller 2023).

For comparison, the ELA standing facility charged a premium of 0.5% over the policy rate for a total of 2%. Schlegel noted that this 0.5% premium was charged for normal ELA assistance and was not a risk premium (FDF 2023a; Fuster and Müller 2023, 12; Illien 2023).

The federal government also charged CS a 0.25% commitment premium on the CHF 100 billion federal guarantee as an incentive for UBS to terminate the agreement as soon the guarantee was no longer needed. This fee was to apply to the full CHF 100 billion—for an annual fee of CHF 250 million—regardless of the amount of funds ultimately drawn. The commitment premium did not have to be paid until the agreement was terminated and would be prorated if the facility were terminated in less than a year (see Key Design Decision No. 9, Loan Duration). The borrower was also responsible for third-party service costs incurred by the SNB or the Swiss government in connection with the PLB (FDF 2023c; SFC 2023a; Fuster and Müller 2023).

As of June 30, 2023, the SNB had earned about CHF 900 million from its secured lending and lending under emergency law. Through July 31, CS paid CHF 214 million in commitment fees for the default guarantee and interest on funds drawn under the PLB. CHF 61 million of that went to the SNB and CHF 153 million to the Swiss Confederation. CS also paid CHF 476 million to the SNB as interest on the ELA+ loan for a total of CHF 690 million in fees connected to the ad hoc emergency liquidity facilities (SNB 2023e; UBS 2023c).

According to the Federal Council, the SNB and FDF maintained separate and independent risk premiums. The Federal Council also said that the risk premiums were based on the SNB's and FDF's costs and on "the prevailing risk situation," such as the financial condition of the borrower. It added that the SNB's risk premium was on the SNB key interest rate. If the risk situation for a borrower changed, the SNB and FDF could adjust risk premiums without the consent of the borrower. However, the SNB was required to obtain approval from the FDF to make risk premium adjustments (FDF 2023a).

9. Loan Duration: The loans did not have fixed durations.

The SNB announced the liquidity facilities without a specified repayment date for amounts drawn. The emergency ordinance that authorized the ad hoc facilities, and thus the authority to lend under them, was set to expire on September 16, 2023, six months after it was established. The Federal Council intended to submit a bill to parliament before that date to replace the emergency ordinance and did so by submitting a draft amendment to the National Bank Act on September 6, 2023. A provision in the CS-UBS merger prospectus filed with the SEC said measures taken on the basis of the ordinance, including funds lent under the ELA+ and PLB, would continue to apply after the expiration of the ordinance, but new funds would not be available (Berset and Thurnherr 2023; SFC 2024; SNB 2023a; UBS and SEC 2023).

While the Swiss government emergency decree supporting the CS-UBS merger exempted the deal from needing either bank's shareholder approval, the transaction remained subject

to approval from other UBS governance bodies, which took three months to close the transaction. The FSB reported that government assistance was made available throughout the duration of these deliberations to maintain market confidence (FSB 2023).

As of May 31, 2023, CS fully repaid the PLB but still had CHF 50 billion outstanding under the ELA+. CS fully repaid the ELA+ funds on August 10 and terminated the PLB agreement on August 11 (SNB 2023b; SNB 2023f).

10. Balance Sheet Protection: Both the ELA+ and the PLB were secured by preferential rights in bankruptcy proceedings, and the PLB facility also had a federal guarantee.

The chairman of the SNB's Governing Board described the ELA+ as “going to the limits of what is feasible for the SNB” because bankruptcy rights were the sole source of security for the SNB (Jordan 2023a, 5). The FSB said that both the ELA+ and the PLB took “less collateral than would have been customary” under a typical GSIB resolution framework or international norms for emergency liquidity assistance (FSB 2023, 15).

SNB Vice President Schlegel stated that as of Wednesday, March 15, it was unclear to the SNB that CS would be able to post enough eligible collateral at the standing liquidity facilities to access sufficient liquidity to survive through the weekend, but “we couldn't take that risk” (Fuster and Müller 2023, 8). The Federal Council's emergency ordinance on March 16, 2023, gave CS and UBS access to CHF 100 billion under the ELA+ without having to deliver any collateral. The Federal Council then voted on March 19 to create the PLB, which provided access to a further CHF 100 billion without needing to post collateral. UBS reportedly negotiated the PLB, as well as the partial loss guarantee, in return for increasing its purchase price for CS. The *Wall Street Journal* reported that UBS demanded the PLB because it “couldn't reliably value” CS's assets in a matter of days (Fuster and Müller 2023; Morris et al. 2023; Patrick 2023; SNB 2023f).

The ELA+ was secured by preferential rights only in bankruptcy proceedings. The PLB was secured by preferential rights in bankruptcy proceedings and by a federal default guarantee. The bankruptcy rights meant that in the event of a bankruptcy, outstanding PLB loans would be in the second bankruptcy class. The claim would rank behind the first bankruptcy class, privileged liabilities such as social security contributions and privileged deposits⁹ but ahead of the third bankruptcy class—which comprises all other claims, including those of unsecured creditors (FDF 2023d; Hofmann, Reutter, and Stäubli 2015; Jordan 2023a; SNB 2023a).

Expectation, or even compulsion, of the merger with UBS may have also reduced the ultimate risk to the SNB; as the Report of the Expert Group noted, UBS's taking over the loans upon completion of the merger “contributed to an additional reduction of the risk” to the SNB (FDF

⁹ Under Article 37(a) of the Bank Act, privileged depositors include (a) client claims arising from banking or securities dealing operations that are booked or should be booked as liabilities from client deposits in the balance sheet and (b) medium-term notes booked as medium-term notes in the balance sheet that are deposited at the bank in the depositor's name (SFC 2012).

2023e, 11). If the merger had not consummated, the SNB would have been protected by additional restrictions placed on CS's balance sheet actions; see Key Design Decision No. 12, Other Conditions.

11. Impact on Monetary Policy Transmission: The aid to Credit Suisse added liquidity to the Swiss franc money market and led the SNB to use open market operations to reduce the amount of added liquidity.

The loans to CS increased sight deposits—deposits that can be withdrawn without, or with a minimal amount of, notice—in Switzerland and increased the supply of liquidity in the Swiss franc money market. The SNB reported that the Swiss Average Rate Overnight (SARON) faced downward pressure “against the backdrop of the crisis at Credit Suisse” (SNB 2024, 58). It also reported that the liquidity assistance “resulted in a certain amount of downward pressure on money market rates” (Jordan, Schlegel, and Maechler 2023; SNB 2024, 64).

The SNB did not want aid to CS to influence its monetary policy stance. To keep the secured short-term Swiss franc money market rates close to the SNB policy rate despite the added liquidity, the SNB reduced the liquidity in the system through open market operations in SNB bills and repo transactions. The SNB reported using these sterilization tools for only “part” of the increase in sight deposits that resulted from the liquidity interventions. To accommodate the increased financial stress, the SNB offered shorter-maturity bills, which were then more attractive to investors given market conditions. The SNB reported that issuance of the short-maturity bills “contributed to conditions on the Swiss franc money market quickly returning to normal” (Jordan, Schlegel, and Maechler 2023; SNB 2024, 62).

The chairman of the SNB's Governing Board said healthy banking sector competition helps changes in the policy rate flow through to interest rates and the economy. He discussed this in the context of the merger between UBS and CS, not specifically in relation to the loans (Jordan 2023a).

12. Other Conditions: Credit Suisse faced several restrictions as part of the government-guaranteed loan.

As part of the terms of the PLB outlined in the March 16 emergency ordinance, borrowers and their subsidiaries could not return capital to investors, grant loans to or repay loans from the owners of the parent company, or pay dividends or royalties to persons outside the borrower's group. However, a March 19 update to the ordinance—motivated by UBS's takeover of CS—included a paragraph that said such restrictions would not apply if the borrower was taken over by another entity (Swiss Parliament 2024, 349–350). The terms also said that the borrower and linked companies could not do anything that could jeopardize the repayment of the loan and interest. The same day as the amendment to the emergency ordinance was passed, UBS's takeover of CS was approved by the boards of directors of both banks. In its announcement, UBS stated that the bank had obtained “pre-agreement” for the takeover from FINMA, the SNB, and the FDF (UBS 2023a). Per the emergency ordinance, the takeover could also be concluded without shareholder approval

from both banks as FINMA had coordinated the merger. FINMA also had the ability to replace any or all bodies responsible for management and supervision and control (Berset and Thurnherr 2023; SFC 2023a; SFC 2023b).

As a result of the finished merger into one consolidated banking group, UBS Group AG managed two parent companies, UBS AG and Credit Suisse AG, each with its own subsidiaries, branches, clients, and counterparties. Credit Suisse Group AG's shares were delisted, and the UBS board took overall responsibility for the consolidated group. As of May 31, 2024, UBS had completed the merger of UBS AG and Credit Suisse AG: Pursuant to the merger, Credit Suisse AG ceased to exist as a separate entity, and UBS AG assumed all of its rights and obligations (UBS 2023b; UBS 2024).

References and Key Program Documents

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